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# **Próspera** Inc.: **The For-Profit City Colonizing Honduras**

The idea of a "for-profit" city may be hard to imagine. How could the space people inhabit be designed for the purpose of making money rather than fulfilling the needs of those who live there? Charter cities give us a glimpse of life, government, and urbanity in a completely privatized space. Originally proposed by economist Paul Romer, charter cities were envisioned as a way to develop the economy of nations by creating deregulated zones that attracted foreign investment.[1] These zones would be established by legal charters from a host nation, and they would function with their own regulations separate from their host.[2] Romer theorized that charter cities would help develop the surrounding areas and economy for host nations because of strong property rights, which many governments fail to ensure. Although Romer proposed the idea in 2010, nations have been hesitant to relinquish their sovereignty and establish charter cities. However, charter cities did catch the attention of Honduras which today hosts the world's most developed charter city, Próspera. Despite their appeal to foreign investment, charter cities are not an effective form of development, instead being akin to colonization. Próspera and Honduras are a case study for how charter cities erode democracy and destroy public life, thus bringing the right to the city into question.

The charter city of Próspera is located on Roatán, an island off the North coast of Honduras. Legally, Próspera is considered a Zone for Employment and Economic Development, or ZEDE, which is a kind of special economic zone that allows for independent regulations and

[1] Lara Caldas. "Charter Cities and De-Democratization in the Neoliberal Age." *Tensões Mundiais* 20, no. 43 (August 28, 2024): 113-114
[2] Caldras, 113-144.

tax laws.[3] Próspera has had a long legal history with many challenges to its legitimacy, but in 2025 it is fully operational with active development. After the 2009 law which established the precursor to ZEDEs faced legal troubles, the Honduran government passed a constitutional amendment allowing for the creation of ZEDEs in 2013.[4] In 2017, Honduras Próspera Inc. officially signed the Próspera ZEDE Charter, establishing the charter city and allowing for the development of the city to begin.[5] Development continued for the next five years, with housing being built as well as businesses incorporating in Próspera. However, 2022 and 2024 brought multiple challenges to the legality of ZEDEs. In 2022, the law establishing ZEDEs was repealed by the Honduran congress, and in 2024 the Supreme Court of Honduras found ZEDEs to be unconstitutional.[6] Despite these legal challenges, Próspera has been able to continue its development under the protection of their charter, which lasts until 2027, and an international agreement that protects US investments in Honduras.[7] Today, the ZEDE is thriving and is ending a year of growth. According to their own website, Próspera reached full capacity in their major apartment building for the first time this year, and they now support over 1,700 residents and over 200 businesses.[8] The resilience of Próspera shows the power and influence that foreign investment has in Honduras, and the interest of these investors is placed over the desires of indigenous Hondurans. As its owned by a private company, Próspera lacks public services and governance that are found in typical cities, and there are many issues that come to a city without

[3] Beth Geglia. "Visualizing the 'Stateless' State: New Anarcho-Capitalist Territorial Imaginaries in the Movement for Private Jurisdictions." *Quaderns de l'Institut Català d'Antropologia* 41, no. 1 (July 16, 2025): 94.
[4] Caldras, 115.
[5] Geglia. "Visualizing the 'Stateless' State," 94.
[6] Geglia. "Visualizing the 'Stateless' State," 94.
[7] Caldas, 116-117.
[8] "Próspera: A Place to Build Business, Community, Innovation." Próspera. Accessed November 30, 2025. https://www.prospera.co/en.

a sense of a public. This is especially true for the nation of Honduras, as in the past private foreign interests developed it.

Private banana companies widely conducted past development in Honduras. In the 19th century Honduras heavily relied on its agricultural exports to support its economy. Many of these banana farms were owned by foreign companies, and they were largely responsible for developing the economy in parts of Honduras.[9] Jorge Colindres, the technical secretary of Próspera and a Honduran native, told the New York Times that "all of what we consider public infrastructure in Honduras, it was put in by the private sector" because the banana companies attracted labors to the sparsely developed coasts for work, and as the population grew the companies had to support the local communities by building roads, railroads, schools, and other forms of infrastructure.[10] The similarities between the banana plantations of old and the current day charter cities is striking. Both rely on foreign private investment to build infrastructure and develop the economy, and they effectively make private enclaves controlled by the company who owns the land. The history of private development poses a threat to the public sector of Honduras, and without a strong public Honduras loses part of its self-determination and democracy. By allowing companies to control the land and development, the Honduran government takes away the right of the people to govern themselves and develop their community to their needs. When foreign investors make decisions instead of residents, those who live in Honduras can no longer design or develop their own cities. Próspera is a continuation of past private control, and by allowing charter cities to develop Honduras is increasingly relinquishing its right to public, democratic governance.

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[9] Beth Geglia. "Honduras: Reinventing the Enclave." *NACLA Report on the Americas* 48, no. 4 (October 2016): 354.
[10] Rachel Corbett. "The For-Profit City That Might Come Crashing Down." New York Times Magazine (August 28, 2024).

The increasing privatization found in charter cities like Próspera reflects the neoliberal views that the city, and its financial backers, subscribe to. Rising to power in the 1980s, neoliberalism is an economic policy focused on protecting and boosting markets as well as privatizing industry. In her article "Charter Cities and de-democratization in neoliberalism: the case of Honduras", political scientist Lara Caldas specifies that under neoliberalism "the state governs for the market" rather than simply taking a laissez-faire approach.[11] Próspera makes clear its championing of neoliberal policies, as they boast having "just four low taxes" on income, sales, and land within the ZEDE.[12] Próspera is inherently designed as a market-first state as its tax policies and regulations are meant to attract businesses. Without the attention of the markets Próspera would fail, so it must protect the interests of its markets before all else. As a result, any significant encroachment into the markets is impossible for Próspera, thus destroying the public sector. Public programs and industry go against the competitive interests of markets, and as a result Próspera is extremely privatized. The lack of a public effects the social sphere of Próspera as well. Caldas argues that the "idealization and configuration of urban space are central to social organization itself."[13] The extreme neoliberal ideology of the city has an adverse effect on the social community of Próspera because its lack of public values. Because the residents have little influence in the physical design of the city, the social aspects of Próspera are likely to be weakened as well. For example, public spaces, such as parks and plazas, found in traditional cities allow the community to organize and promote equal access. In comparison, Próspera's lack of public spaces will result in its society and culture being reliant on the market, which is seen in other neoliberal societies. Neoliberalism, according to Caldas, warps social

[11] Caldas, 109.
[12] "Start and Grow Your Business in Próspera." Próspera. Accessed December 1, 2025. https://www.prospera.co/en/business.
[13] Caldas, 106.

relations to private interests, promotes the commodification of social life, and erodes democratic ideals of equality in favor of the markets.[14] With a lack of democratic ideas and processes, Próspera operates without influence from its own residents, instead choosing to favor the will of the markets. Neoliberalism and near total privatization force Próspera to be reliant on the interests of the markets, causing them to discard democratic values, both in governance and in urban design.

The de-democratization and foreign interests of Próspera have led it to become a form of neocolonialism in the nation of Honduras. By allowing foreign interests to gain sovereignty, Honduras allows a colonial power to exploit their country and people. The strongest testament to the power of these foreign actors is the attempts of the Honduran government to appeal ZEDE laws. Despite their efforts in both 2022 and 2024, Honduras was unable to stop Próspera and other ZEDEs from continuing to hold sovereignty within their borders. The loss of sovereignty is growing as well. A port on the North coast of mainland Honduras was incorporated into Próspera into 2021.[15] As the "city", which may be more accurately described as a colony, expands not only on the island of Roatán but also on mainland Honduras, their power over local Hondurans continues to grow. The Indigenous populations of Honduras have had little input in the decision-making process behind ZEDEs. Anthropologist Beth Geglia has worked with the Indigenous Garifuna peoples of Honduras, and in her article "Honduras: Reinventing the Enclave" she documents how local communities within ZEDEs were destroyed by the new development. Geglia also researched the committee overseeing the transfer of power from congress to the international companies controlling ZEDEs. This committee, known as CAMP and appointed by

[14] Caldas, 110-111
[15] Geglia, "Visualizing the 'Stateless' State," 106

the president of Honduras, had just four Honduran members as of 2016, and the rest of the members was a group of international market economists, businessmen, and libertarians.[16] Foreign influence is extremely strong even within the official government entities overseeing charter cities. In addition to the control of international investors within the ZEDEs of Honduras, Próspera and other charter cities are a form of colonialism because of the separation between new inhabitants and locals. Próspera has catered its services to an elite class of business owners, thus making it completely unaffordable for locals. Much of the development within the city has been luxury housing that is priced far beyond what is attainable for the local population, thus physically separating wealthy foreign investors from local Hondurans.[17] Despite the ironic pleas of Próspera for a private developer to build a social housing project, there are currently no plans for the development of affordable housing.[18] The neoliberal, profit-oriented policies that Próspera was founded on mean that social housing is unlikely to be built because of its lack of profit. The adoption of cryptocurrency for most businesses in Próspera creates another layer of separation because Próspera's citizens are not required to use the local currency or interact with the local economy. The most frightening form of separation, however, is the biological experimentation conducted by wealthy Prósperians. A crop of "biohacking" and longevity health companies have sprung up in Próspera, taking advantage of the lack of regulations on bringing healthcare products to market.[19] While the wealthy are experimenting on their own bodies to live for as long as possible, they are differentiating themselves from local Hondurans, and if gene therapy and longevity treatments make significant progress than the future could be disastrous. A

[16] Geglia, "Honduras: Reinventing the Enclave.," 358.
[17] "Real Estate in Próspera: Invest in Your Future." Próspera. Accessed December 1, 2025. https://www.prospera.co/en/real-estate.
[18] "Real Estate in Próspera." Próspera. Accessed December 1, 2025. https://www.prospera.co/en/real-estate.
[19] "Health in Próspera: Pioneering Innovative Health Solutions." Próspera. Accessed December 2, 2025. https://www.prospera.co/en/solutions/health.

population of powerful, genetically augmented elites fulfills the dreams of white supremacist ideologies, and the biological differences could be significant enough to further separate wealthy Prósperians from the local Hondurans. The foreign influence, sovereignty, and economic exclusivity of Própsera effectively makes it a colonial enclave that threatens natives of Honduras.

The privatized, for-profit city of Próspera makes clear that the right to the city does not lie with its inhabitants. The neoliberal policies and colonial nature of the city take away the democratic process from urban development. The residents of Próspera can make no meaningful decisions, and all the power is centered in Honduras, Próspera Inc, its shareholders, and the market forces it relies on to be successful. In fact, citizenship in Próspera is done by voluntary contract, and Próspera holds the right to terminate anyone's' citizenship within their first year of residency.[20] While it is assumed that those native to Honduras have little say in the implementation of ZEDEs due to their colonial nature, even those who choose to live in Próspera do not have the right to the city. Charter cities are not designed for locals or voluntary residents, so for whom is the city of Próspera designed for? The answer is the billionaire capitalists and stakeholders who have heavily invested in charter cities. Tech elites like Sam Altman, Peter Thiel, and Marc Andreessen have backed the project.[21] As the power and influence of the super wealthy continues to grow, charter cities offer the perfect opportunity for oligarchs to colonize and commodify exploited countries. Charter cities must be met with resistance as they erode democracy and equality in urban spaces. Cities are for the people who live within them, not the billionaires who can afford to buy out space. Action must be taken to prevent the wide scale

[20] Geglia, "Visualizing the 'Stateless' State," 106
[21] Corbett. "The For-Profit City That Might Come Crashing Down"

creation of private cities like Próspera so that urban spaces can properly provide for those who live within them.

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